



KENYATTA UNIVERSITY

UNIVERSITY EXAMINATIONS 2014/2015

DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING

**SECOND SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF
COMMERCE**

BAC 201: ACCOUNTING FOR LIABILITIES AND EQUITY

DATE: THURSDAY, 30TH APRIL 2015

TIME: 8.00 A.M. – 10.00 A.M.

INSTRUCTIONS: ATTEMPT ALL QUESTIONS

QUESTION ONE

- a) Two elements that are used to define current liabilities are measurability and relation to past transactions and events

Required

In relation to the above, outline the classification of current liabilities and give two examples in each class. (6 marks)

- b) A company decides to provide a bonus to her outgoing CEO. There are two plans
- i) Bonus to be equal to 0.25% of the bank's income after deducting the income tax but before deducting the bonus.
 - ii) bonus to be equal to 0.25% of the bank's income after deducting the income tax and the bonus

Assuming the income before tax and bonus is Sh 7,500,000; compute the bonus under each of the above plan. Assume the tax rate is 20%. (4 marks)

- c) Clearly outline and explain the contents of published accounts (6 marks)

QUESTION TWO

- a) In relation to bonds, what are the primary characteristics of a bond? What distinguishes it from common stock? (7 marks)
- b) Kenya mpya ltd issued a kshs 100,000,10% bonds on July 1 20012to yield 8%. The bonds pay interest each June 30 and Dec 31 and mature July 1 2016.

Required

- c) Compute the price of the bond (4 mks)
- d) Prepare a premium/discount amortisation schedule using the effective interest method (6 mks)
- e) Prepare journal entries required to record issuance of the bonds (2 mks)
- f) Prepare journal entries to record the first semi-annual interest payment (2 mks)
- g) Prepare journal entries to record redemption of bonds (2 mks)

QUESTION THREE

- a) Distinguish between an operating lease and a finance lease (4 marks)
- b) The following relates to a lease agreement between ABC ltd and Kamakia ltd

<u>Items in lease agreement</u>	<u>lease terms</u>
Cancellability-----	cancellable at lessees option
Lease term-----	3 years
Useful life of the leased property-----	10 years
Fair value(cost) of the leased property-----	khs 800,000
Residual value of the property at the end of lease-----	kshs 650,000
Annual lease payments-----	kshs 80,000
Maintenance, insurance ,taxes of leased property-----	lessor

Required

- i) What is this type of lease. Give reasons and/or show your calculations.
- ii) Show the necessary journal entries to be made in the first year in the books of the lessor and lessee (4 marks)
- c) Distinguish between the following
 - i) Basic earnings per share and diluted earnings per share (2 marks)
 - ii) Permanent and temporary differences (in relation to income tax) (2 marks)

QUESTION FOUR

Smith, a sole trader who does not keep a complete set of accounts. He pays all his business takings into the bank account and all business payments are made by cheque. The following shows summary of his bank transactions for the year 2014.

Bank summary			
	Sh.		Sh.
Balance 1 st Jan. 2014	119,000	General expenses	26,500
Receipts from debtors	234,500	Payments to creditors	189,700
Cash sales	8,000	Furniture	4,000
		Cash purchases	12,000
		Rent	21,600
		Balance 31 st dec 2014	107,700
	<u>361,500</u>		<u>361,500</u>

The following information is obtained from the books.

<u>1 January 2014</u>		<u>31 December 2014</u>	
	Sh.		Sh.
General expenses owing	1,250		3,000
Furniture & fittings	6,200		9,800
Trade debtors	6,800		4,750
Trade creditors	23,400		12,800
Stock	18,400		14,200

On 1st July Patrick rented a building at a rate of sh. 3,600 per month. The rent was paid from his business bank account at the end of every month. The building is divided equally between business and private occupation.

Required.

- Show the balance of Smith's capital account at 1st Jan 2014 (2 marks)
- Prepare the income statement for the year ended 31st dec 2014 and statement of financial position as at that date (12 marks)
- What are the advantages of double entry compared to single entry recording? (2 marks)